Option B - Build + Transfer Option

This is a discussion draft, not a legal agreement or legal advice. It describes a paid option/exclusivity structure where Razim keeps IP during the build and investor receives a defined first right to buy or invest.

Not legal advice. Subject to counsel review.

Plain-English summary

Investor pays an option fee and monthly retainer. Razim continues building Fieldstate while retaining IP. Investor receives a time-limited exclusive option to acquire, invest into, or transfer Fieldstate into an agreed vehicle. IP transfers only if the option is exercised and the agreed payment/structure completes.

Commercial purpose

This route is best when the investor wants comfort that Razim will not sell or assign Fieldstate elsewhere during the early build, but the parties are not ready to agree final equity or full assignment terms on day one.

The funding ladder (earn-in structure)

Option B is not a single yes/no purchase decision. It is a ladder: each funded stage delivers a real asset and earns the investor the exclusive right - never the obligation - to fund the next stage on pre-agreed terms. Ownership and influence grow with each rung actually funded. Nothing is owed for stages not funded, and no percentage needs to be agreed on day one: each rung's equity is issued by the company at a pre-agreed pricing formula when that rung is funded.

Table:

Rung	Investor funds	Investor receives	Cumulative position (indicative)
1	Option fee + retainer + MVP v2 sprint	Exclusivity, demo/pilot usage rights, the ladder itself	Contractual rights; no equity yet
2	First paid pilot delivery	NewCo is formed, all Fieldstate IP assigned into NewCo; investor subscribes for new shares; board seat	~10-20%
3	Licensed data and validation campaign	Further new-share subscription; expanded information and reserved-matter rights	~25-35%
4	Advanced model campaign (funded specialists, data, compute - Razim remains founder and technical product lead, directing the funded team)	Further subscription; board chair	~40-49%
5	Full commercial platform	Path to majority control: further primary investment, an agreed secondary purchase, or full acquisition at the pre-agreed acquisition pricing	50%+ available
Kicker	Delivered commercial introductions (intro to signed pilot)	Warrants vesting per signed outcome	Additive

Founder equity and dilution through the ladder

All figures in this section are illustrative worked examples for discussion, not offers; final numbers are set in the term sheet with counsel.

Where each party's ownership comes from

Table:

Party	Ownership source
Investor	New shares issued by the company at each funded rung, at the agreed pricing formula; plus commercial-outcome warrants
Razim (founder, technical product lead)	Founder shares subscribed at NewCo formation, standard vesting
Vlad (commercial co-founder)	Base founder shares at formation + milestone grants from the option pool on written commercial milestones
Option pool	Reserved at formation for team hires and milestone grants

Two standing rules:

1. No automatic founder transfers. Razim's (and Vlad's) personal shares are never transferred automatically at any rung or trigger. Investor ownership always comes

from newly issued shares or warrants. A secondary purchase of founder shares can only happen at rung 5, by mutual agreement, at the founder's election.

1. Dilution is pro rata. New issues dilute all existing holders proportionally.

The only planned exception is the pre-agreed option pool (and any refresh of it, which requires both founder and investor consent). No party can be singled out for dilution.

Formation cap tables (rung 2, when NewCo is formed) - three scenarios

Scenario 1 - conservative Vlad role (introduction and early relationship work, limited ongoing commitment):

Table:

Holder	At formation	After rung 2 (investor 15%)	After rung 3 (30%)	After rung 4 (45%)
Razim	82%	69.7%	57.4%	45.1%
Vlad	8%	6.8%	5.6%	4.4%
Option pool	10%	8.5%	7.0%	5.5%
Investor	-	15%	30%	45%

Scenario 2 - active commercial co-founder (Vlad owns pipeline, pilots, and partnerships as an ongoing role):

Table:

Holder	At formation	After rung 2 (15%)	After rung 3 (30%)	After rung 4 (45%)
Razim	72%	61.2%	50.4%	39.6%
Vlad (base + earned milestones)	18%	15.3%	12.6%	9.9%
Option pool	10%	8.5%	7.0%	5.5%
Investor	-	15%	30%	45%

Scenario 3 - investor-control route (continues Scenario 2 through rung 5; illustrative further primary to 52%):

Table:

Holder	After rung 4	After rung 5 primary
Razim	39.6%	34.6%
Vlad	9.9%	8.6%
Option pool	5.5%	4.8%
Investor	45%	52%

A rung-5 control transfer can combine further primary investment with an agreed secondary purchase from founders (at the founders' election, at rung-5 pricing or better), and includes an agreed ongoing role for the founder and continuation of leaver protections.

Vlad's equity mechanics

- Base founder shares at formation (Scenario 1: ~5-8%; Scenario 2: ~10%), same share class as Razim, standard time vesting.
- Milestone upside from the option pool (Scenario 1: up to ~3%; Scenario 2: up to ~8%): granted against written commercial milestones - e.g. first signed paid pilot, first data partnership - assessed against the written criteria, not at any party's discretion.
- Vesting and milestone grants survive the ladder: they are diluted pro rata like all shares, never cancelled by a rung.

Razim's equity treatment through the ladder

- Founder shares with standard vesting from formation; vesting continues through every rung; removal without cause accelerates vesting.
- Diluted only pro rata by rung subscriptions and pool grants - the same shares that fund the company's growth.
- Retains technical product leadership contractually through rung 4; any rung-5 control transfer is negotiated with role and terms agreed before transfer.

Contractor and advanced-model funding treatment

Rung 3-4 budgets (licensed data, specialist contractors, compute) are **company operating spend** funded by the investor's subscription at those rungs:

- Specialists and contractors are engaged by the company; their work is assigned to the company under standard contractor IP terms.
- Contractor compensation is cash and, where needed, option-pool grants - never founder shares and never ad-hoc equity outside the pool.
- Razim, as founder and technical product lead, directs the funded team; the budget buys capacity and data under the founder's technical leadership.

Principles the ladder is built on:

- The ladder is deliberately investor-weighted where uncertainty is highest. The investor risks the least money at every point of maximum unknowns, buys each position at a pre-agreed formula rather than a negotiated peak, and can stop at any rung having received a real asset for every pound spent.
- Every rung is earned by funding real, verifiable milestones - the same evidence discipline that governs the product governs the ladder.
- All investor equity comes from new shares issued by the company at the agreed formula. Founder shares are never transferred automatically; any secondary sale is a separate, mutual decision at rung 5.
- Each rung has an exercise window. Unexercised rights lapse and the company may seek other funding for that stage; everything already funded stays owned.
- Control is available - at the top of the ladder, once the funding that makes control worth having has actually happened.

What investor gets

- Time-limited exclusivity or first purchase/investment option.
- Defined demo/pilot usage rights during the option period.
- Delivery through an agreed retainer and milestone plan.
- Ability to convert the build into a NewCo, acquisition, or licence route.
- Optional source/code escrow if required by counsel.

What Razim keeps/protects

- Ownership of Fieldstate IP during the option/build period.
- No assignment before option exercise and full payment.
- Retainer for delivery time.
- Ability to continue if investor does not exercise by the deadline.
- Background tooling carve-out and no broad non-compete.

Indicative cost breakdown

Table:

* **Item | Indicative range | Notes**

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  Option fee | GBP 15k-25k | Paid for exclusivity/first right; may be credited against buyout or investment.
  Option period | 60-90 days | Time-limited; extension requires additional fee or written agreement.
  Founder/operator retainer | GBP 6.4k/month (discounted founder rate) | Funds active delivery during the option period. Market equivalent for combined ML engineering + product delivery is GBP
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10k-18k/month; the discount is the founder's visible commitment to the staged structure.
Stage 1 sprint/build fee | GBP 25k-50k | May be separate or rolled into retainer/sprint milestones.
IP transfer/buyout | GBP 250k-750k | Depends on scope, rights, product state, and ongoing role.
Equity per ladder rung | See funding ladder | Issued as new company shares at a pre-agreed pricing formula when each rung is funded.
Commercial-outcome warrants | Per signed pilot via investor introduction | Vest on delivered outcomes, priced at the most recent rung.
Data/cloud/legal costs | Separately budgeted | Not included unless expressly stated.

IP mechanics

- Razim owns Fieldstate IP during the build and option period.
- Investor receives only defined demo/pilot usage rights during the option period.
- Razim agrees not to sell, assign, or exclusively license Fieldstate to another party during the option period.
- IP transfers only after option exercise and completion of the agreed payment or NewCo structure.
- If investor does not exercise by the deadline, exclusivity expires and Razim retains all rights.
- If payments stop, build obligations pause and no IP transfer occurs unless otherwise agreed.

Investor protection

- Paid exclusivity prevents Razim from selling the asset elsewhere during the option period.
- Milestone reviews provide visibility on build progress.
- Defined demo/pilot licence allows investor to evaluate commercial use.
- Source/code escrow can be considered if investor funds substantial build milestones.
- Option fee can be credited toward a later buyout or investment if agreed.

Razim protection

- No assignment before full payment or agreed NewCo transfer.
- No unpaid exclusivity.
- No perpetual option period.
- No broad non-compete or restriction on general football analytics/ML work.
- Background tooling and generic evaluation methods remain protected.
- Counsel approval before signing option, assignment, licence, or escrow terms.

Governance during the ladder

- Founder pre-emption rights on all new issues; shares below the agreed formula price
require founder consent.
- Reserved matters until any rung-5 control transfer: sale or exclusive licence of the
IP, related-party transactions, changes to vesting or leaver terms.
- Milestone completion is defined by deliverables and funds actually received, not by
either party's sole discretion.
- Founder and commercial co-founder hold vested roles and standard leaver protections;
a rung-5 control transfer includes an agreed ongoing role and terms for the founder.

Open issues for counsel

- Whether the instrument is an option, right of first negotiation, or right of

first refusal.
- Ladder mechanics: per-rung pricing formulas, exercise windows, lapse consequences.
- Warrant terms for commercial-outcome kickers.
- Exact exclusivity scope and permitted exceptions.
- Whether option fee is refundable, non-refundable, or credited.
- Transfer mechanics and escrow triggers.
- Demo/pilot usage rights during option period.
- Treatment of improvements created during the option period.

Counsel review note

This draft is for commercial discussion only. Counsel should draft the actual option, licence, services, escrow, and assignment documents.